Taking the annual growth rate of 5 per cent in the number of MSMEs between 2013 and 2020, the number of non-farm agricultural, industrial and service establishments in India should be about 8 crore in 2020.

MSMEs Are Predominantly Private, 'Own Account', Proprietary and Unincorporated Businesses

The 2013 Economic Census revealed very useful information about the nature, ownership, employment and other features of non-farm small enterprises in the country.

More than 96 per cent establishments were found to be owned by private entrepreneurs. Over 70 per cent of establishments were classified as 'own account' establishments that did not employ any workers. About 90 per cent were owned by a single person; in other words, these were proprietary establishments.

A significant proportion of establishments (36 per cent) were home-based or without any fixed structure or workplace to operate from. About 20 per cent of establishments, operating from outside the home, did not have any fixed structure or a permanent place to work from. This means that there are about 1.5 crore businesses in the country that operate more like 'hawkers' having no fixed place to produce and sell goods or services.

Business enterprises are categorized in different ways depending upon the form of organization, ownership and liability: companies, sole proprietorship, partnership, association of persons, self-employed persons and many other forms of non-formal arrangements. However, there are essentially two basic forms of business organizations from an ownership and liability perspective: incorporated (essentially businesses that are incorporated as companies) and unincorporated (all other forms of businesses). Mostly, bigger businesses are incorporated as companies while small businesses operate as unincorporated entities. The requirement to raise capital from others and keep business and personal financial affairs